The Rich Report

U.S. Economics News:

- **Industrial Output:** Industrial production fell 0.5% in March — its first decline in four months — dragged down by a 3.8% drop in auto output and weakness in mining and utilities. Excluding autos, manufacturing actually rose 0.2%, and high-tech equipment production climbed 0.7%, now up 6.8% year-over-year, the fastest growth of any major category, driven by AI investment and semiconductor reshoring.[3]
- **Inflation Surprise:** March PPI rose just 0.5%, well below the 1.1% consensus estimate, despite elevated energy costs tied to the Iran conflict — a meaningful relief signal for inflation expectations. Markets responded by pricing the implied Fed Funds year-end rate slightly lower, from 3.57% to 3.49%, though rate cut probabilities for any single meeting remained near zero.[3]
- **Margins vs. Valuations:** The S&P 500's trailing P/E ratio stood at 23.51 in Q1'26, above its long-run average of 18.92, supported by estimated gross profit margins of 14.18% — far above the 9.64% recorded in Q4'10. The sustained expansion in margins, fueled by efficiency gains and AI-related productivity, helps justify elevated valuations relative to historical norms.[3]
- **Earnings Outlook:** S&P 500 earnings per share are estimated to grow 17.7% year-over-year to a record $323.15 in 2026, providing a fundamental underpinning to current price levels. Information Technology leads sector profit margins among large caps, with Real Estate (34.1%), IT (28.9%), and Financials (19.6%) posting the highest estimated net margins for Q1'26.[3]

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Digital Assets News:

- **ETF Record Day:** U.S.-listed spot bitcoin ETFs recorded their strongest single-day inflow since January 15, pulling in $663 million on Friday, April 18. The surge signals renewed institutional appetite for regulated bitcoin exposure, arriving amid broader market volatility and ongoing macroeconomic uncertainty — suggesting investors may be increasingly treating bitcoin as a legitimate portfolio allocation rather than a purely speculative asset.[5]
- **Goldman Sachs Bitcoin Premium Income ETF:** Goldman Sachs filed with the SEC to launch a Bitcoin Premium Income ETF, employing options-based strategies — likely covered calls — to generate yield on Bitcoin exposure rather than holding the asset directly. The move marks one of the bank's most direct forays into crypto product offerings, signaling growing institutional appetite for structured digital asset investment vehicles.[5]
- **DeFi's Darkest Year:** Ledger's CTO has warned that 2026 is shaping up to be DeFi's worst year for security breaches, as a relentless wave of exploits erodes user confidence. April alone saw coordinated attacks strike CoW Swap, Zerion, Rhea Finance, and Silo Finance — signaling that even established protocols remain dangerously vulnerable to increasingly sophisticated threat actors.[5]

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Geopolitics News:

- **Canada:** Prime Minister Mark Carney's Liberal Party has secured a parliamentary majority after winning two Toronto by-elections, giving it 173 of 343 seats. The majority frees Carney to pursue economic diversification away from the US, accelerate infrastructure projects, and stabilize public finances without needing opposition support until 2029.[1]
- **China/Spain:** Chinese President Xi Jinping met Spanish PM Pedro Sánchez in Beijing, with both leaders pledging to uphold multilateralism amid the Iran war and global trade tensions. Spain signed 19 bilateral agreements including expanded agrifood market access to China, as Sánchez seeks to reduce the trade imbalance and diversify away from strained US relations.[1]
- **Germany:** Germany is pivoting its industrial base from automobiles to defense as its export model breaks down. With 15,000 manufacturing jobs disappearing monthly and major automakers like Volkswagen and Mercedes posting dramatic profit declines, Berlin is positioning itself as Europe's primary defense manufacturer, backed by nearly €1 trillion in newly unlocked defense funding.[1]
- **Iran/US:** Trump and Iranian Foreign Minister Araghchi both briefly declared the Strait of Hormuz fully open on April 17 as a Lebanon ceasefire took hold, but Iran reversed course within 24 hours. The US blockade of Iranian ports remained in force, and the ceasefire's application to Lebanon and Hezbollah remained disputed between Washington, Tehran, and Israel.[1]
- **Japan:** Japan announced a $10 billion financial framework to help Asian neighbors secure oil supplies and build energy stockpiles amid the Middle East crisis. Channeled through state-backed institutions, the support is equivalent to roughly one year of ASEAN crude oil imports and is framed as protecting Japan's own supply chains given regional economic interdependence.[1]
- **Philippines/US:** The Trump administration signed an agreement to establish a US-administered high-tech manufacturing zone on a 4,000-acre site in Luzon, Philippines, operating under US common law with diplomatic immunity in a 99-year renewable arrangement. The hub targets AI-powered manufacturing, defense industries, and critical mineral processing as part of a broader effort to reduce dependence on Chinese supply chains.[1]
- **UAE:** The UAE has opened talks with the US about a potential currency swap line with the Federal Reserve, seeking a financial backstop as the Iran war damages its oil infrastructure, disrupts tanker traffic through Hormuz, and threatens its status as a global financial hub. Emirati officials argued the US bears responsibility for the economic damage since it was Trump's decision to attack Iran.[1]

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The Good News:

- **Superhot Geothermal:** A startup is building the world's first superhot geothermal plant in Central Oregon, targeting temperatures of 300–500°C where a single well can produce 10–100x more electricity than conventional geothermal. Traditional geothermal typically operates below 150°C, making this a potential step-change in clean baseload energy — power that runs continuously regardless of weather, unlike solar or wind.[2]
- **College Costs Fall:** A study tracking net prices at 200 U.S. colleges finds that what students actually pay — after grants and aid — is 15–30% lower in 2025–26 than in 2019–20 for lower-income families, with declines across all income groups. Even sticker prices haven't kept pace with inflation, meaning the affordability gap between published costs and real costs is widening in students' favor.[2]
- **AI Fact-Checking:** A field study deploying an LLM-based fact-checker on X's Community Notes platform found that AI-written notes rated higher in helpfulness than human-written notes across 42,521 raters with varying political viewpoints. The AI processed over 1,600 posts, handling text, images, and video, suggesting that scalable, cross-partisan misinformation correction may now be technically feasible in real-world social media environments.[2]

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Dividend Portfolio News:

- **ABT:** Q1 results were mixed — revenue of $11.16B beat estimates by $160M, but EPS of $1.15 came in line. The company cut its FY26 adjusted profit outlook due to $0.20 EPS dilution from the Exact Sciences acquisition, sending shares to a 52-week low. Medical Devices maintained double-digit Y/Y growth while Nutrition slipped. FY26 comparable sales growth guided at 6.5%–7.5%.[4]
- **CAT:** Caterpillar is reportedly acquiring autonomous tractor startup Monarch, signaling a push into agricultural automation. The stock rose with broader markets as the Strait of Hormuz reopened. Separately, Caterpillar raised its dividend per the weekly dividend roundup, and Goldman flagged CAT among power stocks with AI tailwinds.[4]
- **LRCX:** Lam Research was named as a key supplier in Musk's Terafab chip manufacturing push. ASML's raised 2026 outlook supports semi equipment demand. Shares participated in the broader tech rally as Hormuz tensions eased, though the group dipped earlier on mixed signals despite TSMC's high capex plans.[4]
- **LMT:** Lockheed secured a $12B naval systems sale to Germany (with RTX), a $1.9B C-130J training contract, an $850M Navy contract modification, a $105M GPS ground systems upgrade, and a $101.6M Army contract modification. Sikorsky unveiled armed Black Hawk kits. Baird turned cautious on defense ahead of Q1 earnings despite the contract momentum.[4]
- **QCOM:** Qualcomm raised its quarterly dividend 3.4% to $0.92/share. JPMorgan downgraded to Neutral and placed it on negative catalyst watch. The company was also cited among firms with notable job cuts in 2026. An analyst noted Qualcomm as a top pick this week, reflecting divided sentiment on the stock.[4]

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Growth Portfolio News

- **AEM:** Agnico Eagle announced deals to acquire Rupert Resources and Aurion Resources, plus a stake in a joint venture with B2Gold — a significant consolidation move in the gold mining space that expands its pipeline in Finland's Lapland region, one of the world's most prospective emerging gold districts.[4]
- **CVX:** Supreme Court sided with Chevron in an environmental case; Trump administration urged Chevron and other oil majors to boost drilling amid the Iran conflict; Strait of Hormuz tensions drove volatility in oil stocks before easing; Trump also preserved hydrogen funding; gasoline prices expected to fall toward $3/gallon this summer per Treasury Secretary Bessent.[4]
- **HOOD:** Robinhood gained on SEC removal of day-trading limits, an Affirm top-pick note that lifted fintech peers, and Bernstein's $1T prediction market forecast; ClearBridge added HOOD in Q1 moves; stock was among the week's biggest movers alongside broader crypto and fintech rallies.[4]
- **NVDA:** SK Hynix began mass-producing high-capacity memory for Nvidia's Vera Rubin platform; Cadence unveiled Google Cloud and Nvidia partnerships; Microsoft renting 30,000 Nvidia chips in a Norway deal; Nvidia participated in Cursor's $2B funding round; CoreWeave secured a $6B deal with Jane Street; Nokia-Orange partnered on AI-RAN using Nvidia tech. Senator Warren flagged risks to Nvidia's SchedMD deal in a letter to Defense officials.[4]
- **TSM:** Taiwan Semiconductor beat Q1 top and bottom-line estimates, raised its 2026 outlook on strong AI demand, with 3nm chips driving 25% of wafer revenue and advanced nodes (7nm and below) at 74%. ASML raised its own 2026 sales outlook citing AI tailwinds, reinforcing TSMC's capex-driven growth narrative. Tesla taped out its AI5 chip, likely on TSMC advanced nodes.[4]

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Summary:

In regard to the United States Economy, inflation came in well below expectations in March, with PPI rising just 0.5% against a 1.1% consensus estimate. Industrial production dipped 0.5%, driven largely by a sharp drop in auto output, though high-tech equipment manufacturing grew 6.8% year-over-year. S&P 500 earnings are projected to grow 17.7% in 2026, supported by expanded profit margins that help justify valuations above historical averages.

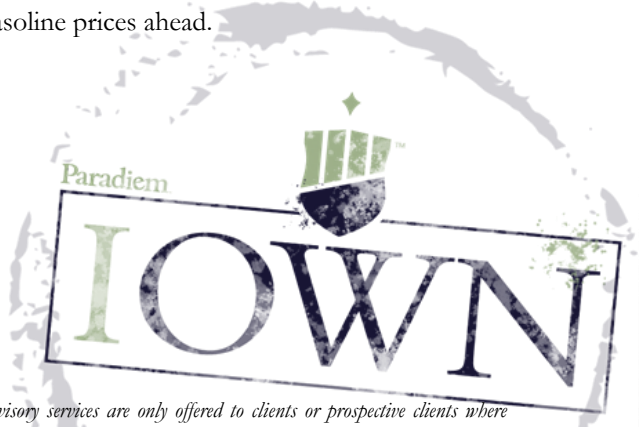
In the world of digital assets, institutional momentum continued building as U.S. spot bitcoin ETFs recorded their strongest single-day inflow since January, pulling in $663 million in one session. A major Wall Street bank filed to launch a Bitcoin Premium Income ETF using options strategies, signaling growing demand for structured crypto products. On the risk side, DeFi's security crisis deepened, with multiple established protocols suffering exploits as sophisticated attacks eroded user confidence.

Recently around the globe, geopolitical realignments accelerated on multiple fronts. Canada's new government secured a parliamentary majority, freeing it to diversify economically away from the United States. Germany pivoted sharply toward defense manufacturing as its auto sector weakened. Tensions in the Middle East remained fluid, with the Strait of Hormuz briefly reopened before Iran reversed course. And, the U.S. established a high-tech manufacturing zone in the Philippines.

For the good news, a startup is advancing the world's first superhot geothermal plant in Oregon, targeting temperatures where a single well could produce up to 100 times more electricity than conventional geothermal. College affordability improved meaningfully, with net prices for lower-income families falling 15–30% compared to 2019–20. An AI-powered fact-checker deployed on a major social media platform outperformed human-written corrections across tens of thousands of raters with varying political viewpoints.

In the news for the dividend portfolio, Abbott shares fell to a 52-week low after cutting its profit outlook due to acquisition-related dilution, though medical devices maintained double-digit growth. Lockheed Martin secured several major defense contracts totaling billions, reinforcing its pipeline despite analyst caution ahead of earnings. Qualcomm raised its quarterly dividend while facing a JPMorgan downgrade. Caterpillar moved toward agricultural automation with a reported acquisition and also raised its dividend.

And, for the growth portfolio, Taiwan Semiconductor beat first-quarter estimates and raised its 2026 outlook, with advanced nodes driving nearly three-quarters of wafer revenue. Nvidia remained central to AI infrastructure, with partners announcing major chip deals and new platform production underway. Agnico Eagle made significant acquisition moves to consolidate gold assets in Finland. Robinhood surged on regulatory tailwinds, while Chevron benefited from Supreme Court support and expectations of lower gasoline prices ahead.



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